

Funding Report



ā-hub,
Andhra University Incubation
Center
Financial Year 2022-23

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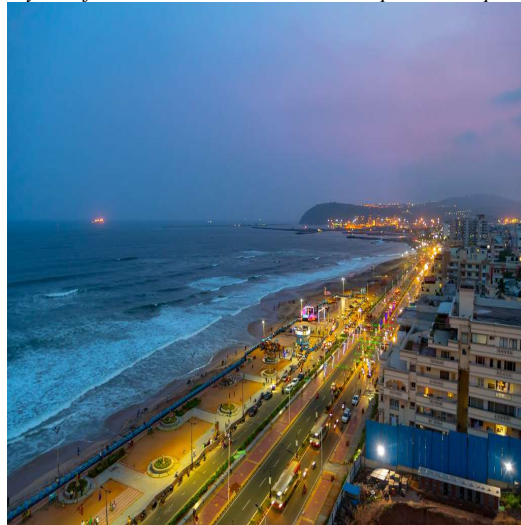
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Glimpse of Vizag Startup Ecosystem

Visakhapatnam

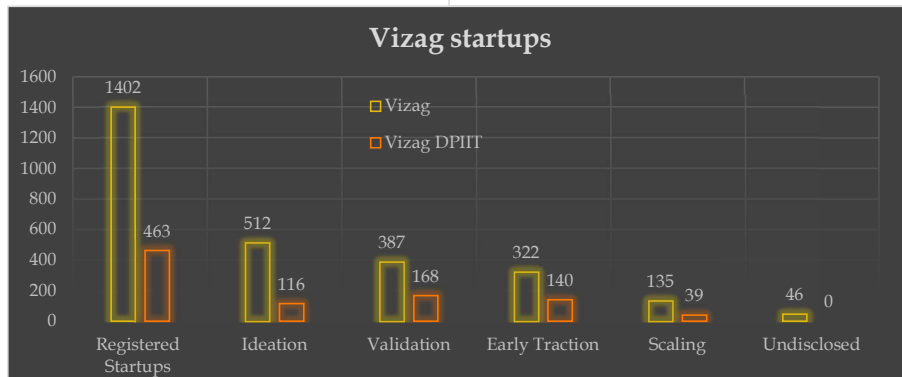
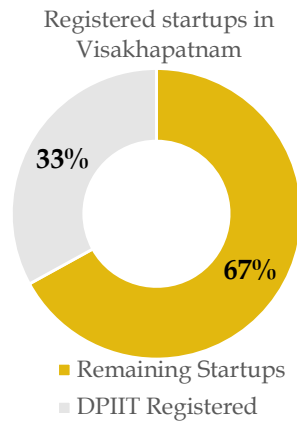
Visakhapatnam, known as Vizag, is a vibrant startup hotspot in India. With its stunning beaches, bustling port, and rich cultural heritage, the city has seen a surge in entrepreneurial activity. Vizag's startup scene spans diverse industries like technology, healthcare, education, tourism, and renewable energy. Supported by a strategic location, robust infrastructure, and government initiatives, Vizag provides an ideal environment for startups to thrive. Incubators, accelerators, and co-working spaces further bolster the ecosystem, offering valuable support and resources. With increased investor interest, startups in Vizag have gained access to funding for growth and innovation. As the ecosystem flourishes, Vizag presents abundant opportunities for entrepreneurs, investors, and ecosystem enablers to contribute to its vibrant startup landscape.

Vizag's strategic location on the southeastern coast of India and its well-developed infrastructure make it a key hub for trade, commerce, and entrepreneurship.



Vizag has 1402 registered startups and 463 DPIIT-registered Startups. Status of those startups is shown in the graph below.

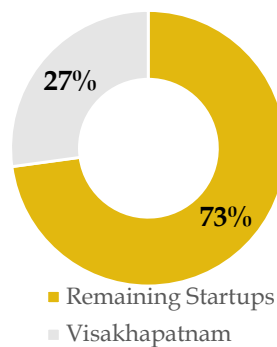
Pie Chart shows the Total Startups in Vizag and DPIIT registered startup's contributions.

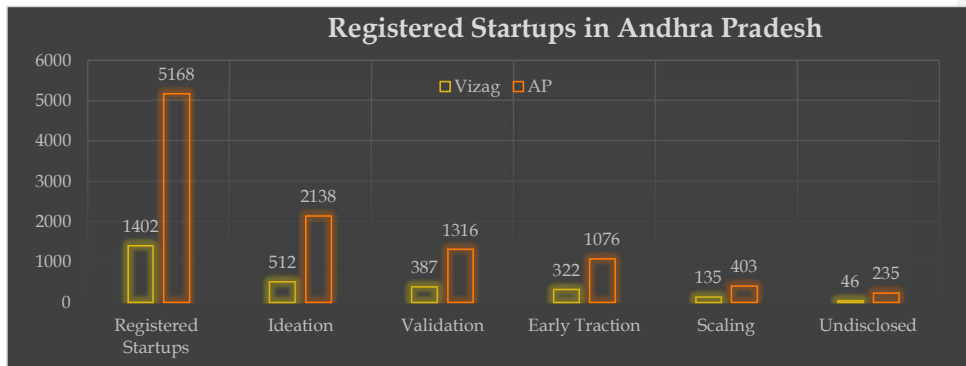


We can compare the number of startups in Visakhapatnam with that of Andhra Pradesh. AP has a total of 5168 registered startups. 27 of the total startups of AP are in Visakhapatnam.

The pie chart shows the Contribution of startups registered in Visakhapatnam in the total registered Startups in Andhra Pradesh.

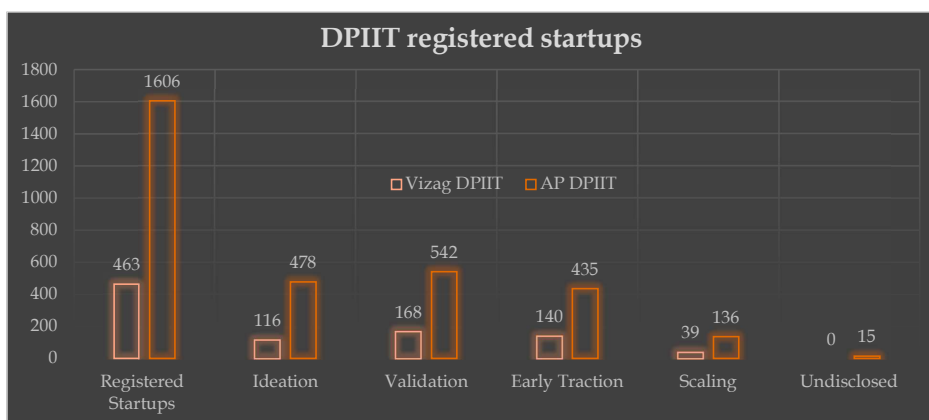
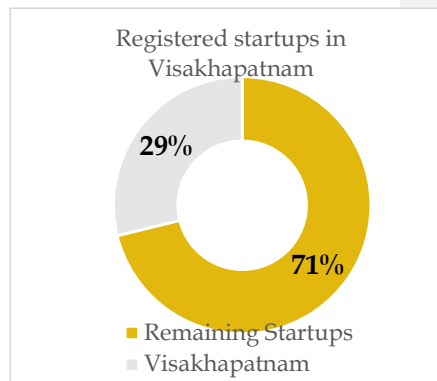
Registered startups in Andhra Pradesh





Visakhapatnam has 463 DPIIT-registered startups, while AP has 1606 DPIIT-registered startups. Vizag contains roughly 29% of total DPIIT registered startups in AP.

The pie chart shows the contribution of DPIIT-registered startups of Visakhapatnam in the total DPIIT-registered startups in Andhra Pradesh.



Funding Stages

Ideation Stage

age where the entrepreneur has an idea and is working on bringing it to s stage, the amount of funds needed is usually small. Additionally, at the e in the startup lifecycle, there are very limited and mostly informal available for raising funds.

Bootstrapping/Self-financing
Friends & Family
Business Plan/Pitching Events



Validation Stage

At this stage, a startup has a prototype ready and needs to validate the potential demand of the startup's product/service. This is called conducting a 'Proof of Concept (POC)', after which comes the big market launch.

Incubators:
Government Loan Schemes
Angel Investors
Crowdfunding



Early Traction

At the Early Traction stage startup's products or services have been launched in the market. Key performance indicators such as customer base, revenue, app downloads, etc. become important at this stage.

Venture Capital Funds
Banks/Non-Banking Financial Companies (NBFCs)
Venture Debt Funds



Scaling

At this stage, the startup is experiencing a fast rate of market growth and increasing revenues.

Venture Capital Funds
Private Equity/Investment Firms



Exit Options

At this stage, founders and investors seek to monetize their investments by selling the ownership rights of company or going public.

Mergers & Acquisitions
Initial Public Offering (IPO)
Selling Shares
Buybacks



Types of Funding

There are 3 types of Startup Funding

1. Equity Financing
Equity financing involves selling a portion of a company's equity in return for capital.
2. Debt Financing
Debt financing involves the borrowing of money and paying it back with interest.
3. Grants
A grant is an award, usually financial, given by an entity to a company to facilitate a goal or incentivize performance.

CROWDFUNDING

Crowdfunding plays a crucial role in startups by providing access to capital from diverse investors. It enables entrepreneurs to raise funds, validate their ideas, and gain market exposure. By leveraging the power of collective contributions, crowdfunding fosters innovation, helps build a customer base, and creates a community of supporters, boosting the growth and success of startups.

The following list features prominent crowdfunding platforms that provide opportunities for startups to raise funds from a wide range of investors:

The Hotstart
Indiegogo
Start51
GoFundMe
Wishberry
Mightycause
Ketto
SeedInvest
FuelADream
Kickstarters
Kiva

Incubators

These organizations provide a supportive environment, resources, and guidance to help early-stage companies develop their ideas and transform them into viable businesses. Incubators act as catalysts for entrepreneurial success by offering a range of services, including mentorship, access to networks, workspace, funding opportunities, and industry-specific expertise. Following are some major and active Incubators in Visakhapatnam.

- IIMV FIELD
- A-hub, Andhra University Incubation Centre
- NASSCOM (National Association of Software and Service Companies)
- APIS (Andhra Pradesh Innovation Society)
- AMTZ (Andhra Pradesh MedTech Zone)
- STPI Incubation Centre
- GITAM GCIED

We will focus on 4 major incubators here.

IIMV FIELD



IIMFiELD
Indian Institute of Management Visakhapatnam
A holistic entrepreneurial ecosystem

IIMV FIELD stands for IIMV Foundation for Incubation Entrepreneurial Learning and Development.

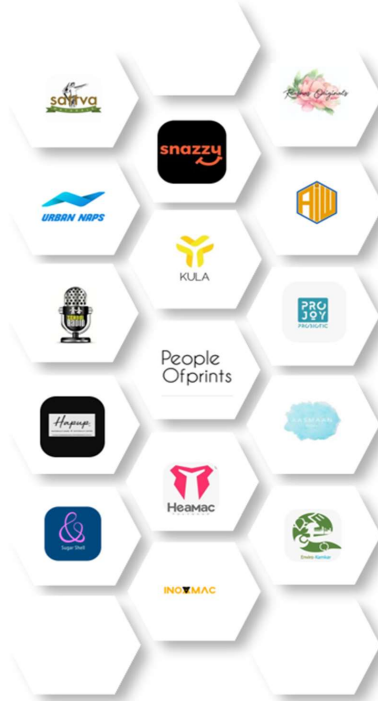
It has been operational since 2018.

Programs offered.

- Women Startup Program
- TIDE 2.0
- Vidyarthi to Vyavsayi
- NIDHI Accelerator Program
- General Incubation Program
- Social Impactpreneurs Program
- IIMV SUPERS Program

Startups Incubated: 73

IIMV FIELD supports Pre-Incubation, Incubation, and Acceleration support for Women led Ventures, Tech based, EduTech & FinTech Ventures.



Incubation Center & Startup Hub Entrepreneurship at IIM VISAKHAPATNAM	 73 Startups Incubated	 55 Women Entrepreneurs Supported	 7 Flagship Programs
 30+ Mentors Available	 20+ Network Institutions	 35+ Ecosystem Partners	 20+ Services in our Startup Kit

ā hub

Started operations from April 2022.

Vision: Together, we can.

ā hub, the Andhra University Incubation Council, enables the translation of knowledge and innovation into successful entrepreneurs, thereby making a significant contribution to the local economy and fostering employment generation.

Mission 2025: An Andhra University Incubation Council (ā hub) aims to foster entrepreneurship among students and the local community, creating wealth and job opportunities. They aspire to become one of India's largest integrated multi-disciplinary Incubation & Innovation Ecosystem by 2025.

Services:

1. Business Advisory
2. Market Access
3. Legal, Compliance & IP
4. Physical Infrastructure
5. Mentoring / Training
6. Financial Support

Events organized:

- Hack AP Hackathon
- Startup Saturday
- Been there, Done That



NASSCOM

The Center of Excellence for IoT India, at Andhra Pradesh, is a Digital India Initiative to jump start the IoT ecosystem in India taking advantage of India's IT strengths and help country attain a leadership role in the convergent area of hardware and software. Established in December 2021.

nasscom
Center of Excellence-IoT & AI
A MeitY Initiative with Govt. of Karnataka, Haryana, Gujarat & AP

Initiatives

Artificial Intelligence
forum
Enterprise innovation
challenge
Health Tech
Industry 4.0
Agri Tech

Programmes offered:

1. IOT incubation program
2. COE IOT Startups connect program.
3. IOT Startups Growth Track Program

Features

1. Funding (connect with Investors)
2. Accelerate (grow through rapid prototyping)
3. Mentor support (top notch industry experts)
4. Enterprise connects (build strong connections)
5. Govt. Recognized incubator (access to many schemes)
6. Lab access (build finished products)



APIS



Andhra Pradesh Innovation Society (APIS) was set up in the year 2015 and registered under the provisions of Andhra Pradesh Societies Registration Act, 2001 is the State Nodal Agency for promoting the growth of Innovation, Entrepreneurship, and Startup Ecosystem in the state.

Executive Committee

Sri Kona Sasidhar, IAS (chairman)
 Sri Tentu Anil Kumar, CEO
 Sri Satyanarayana, IAS
 Prf K. Hemachandra Reddy
 Sri M. Kalyan (Director, NASSCOM)

Social Impact Startups Incubation Institutional Support in Ecosystem:

- Intellectual property (IP)
- Public procurement
- Women Led startups.
- Partnership and collaborations.

Innovation Challenges

Grand Hackathons

Eco system Partners:

1. MEITY Startup
2. APCFSS
3. Startup India
4. APSAC
5. Fin Blue



APIS

Govt Schemes and Loans

Government has recognized the vital role that startups play in driving innovation, economic growth, and job creation. To foster entrepreneurial ecosystems and encourage the growth of startups, numerous government schemes have been implemented. These initiatives aim to provide financial assistance, mentorship, infrastructure support, and regulatory benefits to startups, empowering them to flourish. By reducing barriers to entry and providing targeted resources, these schemes have become instrumental in nurturing the startup ecosystem, spurring innovation, and shaping a thriving entrepreneurial landscape. Some of the major schemes are mentioned here.

- Startup India Initiative
- Stand-Up India
- Pradhan Mantri Mudra Yojana
- Startup India Seed Fund Scheme
- Venture Capital Assistance Scheme
- SFURTI scheme
- Credit Guarantee Trust Fund for Micro & Small Enterprises (CGTSMF)
- Financial Support to MSMEs in ZED Certification Scheme
- Credit Linked Capital Subsidy for Technology Upgradation (CLCSS)
- Mahila Udyami Yojana
- Udyogini Scheme
- Dairy Processing and Infrastructure development fund

In addition to government schemes, financial institutions are actively engaging in supporting startups by offering tailored loan facilities. Recognizing the significance of startups in driving economic growth, banks have introduced specialized loan programs accompanied by unique exemptions and incentives specifically designed for startup ventures. These initiatives aim to provide startups with access to crucial financial resources, enabling them to fuel their growth and innovation. Some major schemes are mentioned here.

- Cent Kalyani Scheme
- Bharatiya Mahila Bank
- Mahila Udyam Nidhi Scheme
- Stree Shakti Package
- Orient Mahila Vikas Yojana Scheme
- Synd Mahila Shakti Scheme

Angel Investors and VCs

The success and growth of startups heavily rely on the availability of funding opportunities. This section presents an overview of the prominent angel investors and venture capitalists (VCs) operating in Visakhapatnam, who play a crucial role in the region's funding ecosystem. These investors bring not only financial capital but also valuable expertise, guidance, and industry connections to early-stage and scaling startups. By actively supporting entrepreneurial ventures, angel investors and VCs provide the much-needed fuel to drive innovation, expansion, and market penetration. This curated list showcases the influential investors in Visakhapatnam, reflecting their commitment to nurturing the local startup ecosystem and fostering the growth of promising businesses.

Investor Networks

SucSEED Indovation
Ycombinator
IPV
Better Capital

HNIs

1. P Brahmanandam, Devi Sea Foods
2. Venkateswara Prasad Kondragunta, Sandhya Marines
3. Nekkanti Seetha Ramachandra Murty, Nekkanti Sea Foods
4. Rajagopal Choudary chitturi, Devi Fisheries
5. Suryarao Yarlagaadda, Devi Fisheries
6. Dr. A. Subrahmanyeswara Rao – Ex president of Indian Medical Association of Visakhapatnam Branch
7. G. Sambasiva Rao – MD of SRAVAN Shipping Services
8. Aquib H.Mehdi
9. Prathap C. Reddy: Founder and Chairman of Apollo Hospitals, a leading healthcare provider in India.
10. K. V. K. Raju: Chairman of Nagarjuna Construction Company (NCC), a prominent infrastructure and construction company.
11. G. V. Krishna Reddy: Founder and Chairman of GVK Group, a diversified conglomerate with interests in energy, infrastructure, hospitality, and airports.
12. V. V. Lakshminarayana: Founder and Chairman of Lanco Infratech, a company involved in infrastructure development, power generation, and engineering.
13. Avanthi Srinivas: Chairman of Avanthi Group of Institutions, which operates educational institutions in various fields.
14. Nimmagadda Prasad: Prominent entrepreneur and investor known for his involvement in various industries, including infrastructure, power, and media.

Major Directors and Investors

Chintalapati Venkata Satya Surya Raghur
Girija Chintalapati
Avnash Anumolu
Ammaji Anumolu
Lakshmi Kishore Vallurupalli

Kalidindi Narasimha Raju
 Vegesna Ananda Raju
 Kalidindi Krishna Veni
 Vegesna Raghurama Raju
 Harshitha Anumolu
 Prabhu Kishore Vallurupalli
 Varun Dev Vallurupalli
 Vallurupalli Varsha
 Mahesh Anumalisetti
 Rajagopal Choudary Chitturi
 Bharata Mallika Ratna Kumari Grandhi
 Lakavarapukota Ganga Trinadha Rao
 Mathukumilli Sri Bharat
 Nagesh Anumalisetty

Corporate Social Responsibility

In the realm of fostering sustainable development and social impact, corporate social responsibility (CSR) plays a pivotal role. This section presents a curated list of the top CSR giving companies in Visakhapatnam, highlighting their significant contributions to the local funding ecosystem. These companies are recognized for their commitment to driving positive change and supporting initiatives that promote social welfare and community development. By engaging in CSR activities, these organizations play a vital role in nurturing the startup ecosystem, providing financial support, mentorship, and resources to fuel entrepreneurial growth. The following list showcases the leading corporate entities in Visakhapatnam that are actively channeling their resources towards social causes, thereby contributing to the overall funding ecosystem in the region. These are some major companies.

Laurus Labs Limited
 Navayuga Engineering Company Limited
 Bharat Dynamics Limited
 Piramal Enterprises Limited
 Rashtriya Ispat Nigam Ltd
 South Asia Lpg Company Private Limited
 Container Corporation of India Limited
 Mahindra And Mahindra Limited
 Hetero Infrastructure Sez Limited

Valuation Experts

Valuation experts play a crucial role in funding startups by providing accurate and objective assessments of a company's worth. Their expertise in financial analysis, market trends, and industry knowledge helps investors make informed decisions. By evaluating assets, projections, and growth potential, valuation experts ensure fair and strategic funding for startups in the dynamic entrepreneurial landscape.

The following list comprises notable valuation experts who specialize in assessing the worth and potential of startups:

Name of the Experts	Organization
Vishnu SRIKUMAR NAIR	Valueprix
Shubham Jain	Finshark Advisors
Asheesh Sinha	Plan Thy Business
Sushanto Mitra	Founder & CEO Lead Angels
Vinutha Naga Rallapalli	GMR Innovex
Nidhish Shah	RC Consultancy
Sanjay Suthar	Valueonshore Advisors
Manish Bohra	RBSA Valuation Advisors LLP
CA Rabindra Sahu	Western Fintrade
Pooja Kumari	IIM Vizag

These companies are among the leading providers of valuation services for startups:

1. Evalueserve
2. Intellectap
3. ValPro
4. India Valuation Services (IVS)
5. VCCircle
6. ValueQuest Capital LLP
7. VCCEdge
8. Avendus
9. Nishith Desai Associates
10. Duff & Phelps
11. Venture Catalysts
12. BDO India

Renowned for their expertise in startup valuation, these firms offer comprehensive insights into financial standing, growth potential, and market positioning. Their services play a vital role in facilitating informed investment decisions and supporting startups in securing funding.

Conclusion

In conclusion, this report has explored various funding methods and types available to startups, along with key players in the funding ecosystem. We have discussed valuation experts such as Evalueserve, Intellectap, and Duff & Phelps, who provide critical insights into startup valuations. Additionally, we have highlighted notable CSR companies and their focus areas, emphasizing the importance of corporate social responsibility.

Furthermore, we have identified angel investors and venture capitalists as significant sources of funding for startups. Their financial support and expertise contribute to the growth and success of emerging businesses. Moreover, we have introduced a method to identify suitable funding sources based on specific criteria, facilitating the matching of startups with the right investors.

By understanding the funding landscape and engaging with valuation experts, CSR companies, angel investors, and venture capitalists, startups can enhance their chances of securing appropriate funding and achieving their growth objectives. It is crucial for entrepreneurs to conduct thorough research and due diligence when selecting the most suitable funding sources for their specific needs and aspirations.

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